

Frequently Asked Questions

What is Estate Planning?

Estate planning is the process of organizing your personal, legal and financial affairs so your wishes are carried out during your lifetime and after your death. A well-designed estate plan can help protect your loved ones, minimize confusion, avoid unnecessary court involvement, and ensure that the right people are able to make decisions if you become unable to do so yourself.

Estate planning is not only about transferring assets after death. It also includes planning for incapacity, healthcare decisions, guardianship of minor children, and protecting family members and beneficiaries.

What is Probate?

Probate is the legal process through which a deceased person's assets are gathered, debts are addressed, and property is distributed to beneficiaries or heirs. Probate is supervised by a court.

In some situations, probate can be relatively simple. In many others, it can become time-consuming, expensive, and public. Below is a table that shows a general outline for the probate process, along with ranges of fees, that will need to be paid for an estate that goes through probate:

Proper estate planning can often help reduce or avoid probate for many assets.

Not all assets go through probate. For example, assets held in certain trusts or accounts with designated beneficiaries may pass directly to beneficiaries outside of probate.

What is Joint Tenancy? What is Tenancy in Common? What is Tenancy by the Entirety? What is Community Property?

These are different ways that property can be legally owned.

Joint Tenancy

Joint tenancy is a form of co-ownership where two or more people own property together with a right of survivorship. When one owner dies, their interest automatically passes to the surviving owner(s).

Tenancy in Common

Tenancy in common allows multiple people to own property together, but each owner may own a different percentage. Unlike joint tenancy, an owner's share does not automatically pass to the other owners upon death.

Tenancy by the Entirety

Tenancy by the entirety is a special form of ownership available in some states only for married couples. It often includes survivorship rights and may provide additional creditor protection.

Community Property

Community property is a system used in certain states where most property acquired during marriage is considered jointly owned by both spouses.

The type of ownership can have significant estate planning, tax, and asset protection consequences.

What does Intestacy mean?

Intestacy means a person dies without a valid will or estate plan. When that happens, state law determines who inherits the person's assets.

These default rules may not reflect what the individual actually wanted. Intestacy can also create delays, additional costs, and family disputes.

A properly prepared estate plan allows you—not the state—to decide how your assets should be distributed.

What is a Will?

A will is a legal document that states how you want your assets distributed after your death. A will can also nominate guardians for minor children and identify the person you want to handle your estate administration.

A will generally does not avoid probate, but it does provide important instructions and can greatly simplify the administration process.

What is a Trust?

A trust is a legal arrangement where one person or institution holds and manages assets for the benefit of another person or group of people.

Trusts can be used for many purposes, including:

- Avoiding probate
- Managing assets during incapacity
- Providing privacy
- Protecting beneficiaries
- Planning for blended families

- Managing taxes
- Protecting assets for future generations

Trusts can be highly flexible and tailored to a family's specific goals.

Are there different kinds of trusts?

Yes. There are many different types of trusts, and the right structure depends on your goals and circumstances.

Some common examples include:

- Revocable living trusts
- Irrevocable trusts
- Special needs trusts
- Charitable trusts
- Asset protection trusts
- Trusts for minor children
- Tax planning trusts

Not every person needs the same type of trust. A good estate plan is customized to fit the client's unique family, financial, and personal situation.

What is the difference between a Will and a Trust?

A will takes effect upon death and generally goes through probate. A trust can take effect during your lifetime and may help avoid probate.

A trust can also provide ongoing management of assets if you become incapacitated, while a will alone does not accomplish that.

For many clients, the best estate plan includes both a will and a trust working together.

Do all assets need to be held in a trust? What if an asset is not in the trust?

Not necessarily. Whether assets should be placed into a trust depends on the type of asset, the goals of the estate plan, and the overall planning strategy.

For clients who use a revocable living trust as part of their estate plan, many assets are often transferred into the trust during the client's lifetime. This process is commonly referred to as "funding" the trust. Proper funding is important because assets that are titled in the name of the trust are generally easier to manage during incapacity and may avoid probate upon death.

However, not every asset is typically placed into a trust. Certain assets—such as retirement accounts, life insurance policies, and some financial accounts—are often handled through beneficiary designations instead of direct trust ownership.

If an asset is unintentionally left outside of the trust, it does not necessarily mean there is a problem, but it may affect how that asset is administered after death. In some situations, assets outside the trust may need to pass through probate before ultimately being distributed according to the estate plan.

Many trust-based estate plans also include a “pour-over will,” which is designed to direct assets that were not transferred into the trust during life into the trust after death. While this can help coordinate the estate plan, assets passing through a pour-over will may still require probate.

A well-designed estate plan includes not only the legal documents themselves, but also guidance on properly coordinating asset ownership, beneficiary designations, and trust funding to help ensure the plan works as intended.

Are there any assets that cannot be transferred to a trust?

Yes. While many types of assets can be transferred into a trust, certain assets either cannot be transferred or are often better handled through beneficiary designations or other planning techniques.

Some common examples include:

- Retirement Accounts
- Retirement accounts such as IRAs and 401(k)s are generally not retitled into a revocable living trust during a person’s lifetime. Doing so could trigger unintended tax consequences. Instead, these accounts are typically coordinated through beneficiary designations.
- Health Savings Accounts (HSAs)
- HSAs are generally required to remain in the individual account holder’s name and are not typically transferred to a trust during life.
- Certain Business Interests
- Some closely held business interests, partnership interests, or LLC memberships may have restrictions on transfer contained in operating agreements, shareholder agreements, or partnership agreements. In these situations, additional planning may be necessary before ownership can be transferred to a trust.
- Vehicles
- Automobiles, boats, and similar titled vehicles can often be transferred into a trust, but in some situations doing so may not be practical or beneficial depending on insurance, financing, or state law considerations.

- Certain Professional Licenses or Personal Rights
- Personal licenses, memberships, and certain contractual rights may not be transferable because they are tied specifically to the individual.

Importantly, even if an asset is not directly titled in a trust, it can still often be coordinated with the overall estate plan through:

- Beneficiary designations
- Pay-on-death or transfer-on-death arrangements
- Ownership structuring (for example, real estate held under a Joint Tenants with Right of Survivorship (JTWROS) will automatically transfer to a surviving tenant/owner upon the death of the other owner)
- Business succession planning
- Pour-over wills

A comprehensive estate plan looks at each asset individually to determine the most effective and appropriate way to coordinate it with the client's overall goals.

What is a Power of Attorney? What does a Durable Power of Attorney mean?

A power of attorney is a legal document that allows another person to act on your behalf regarding financial or legal matters.

A durable power of attorney remains effective even if you become incapacitated. This allows someone you trust to continue managing important matters such as:

- Paying bills
- Managing investments
- Handling banking transactions
- Signing legal documents
- Managing business interests

Without a durable power of attorney, loved ones may need to seek a court-appointed guardianship or conservatorship.

What is a Medical Power of Attorney?

A medical power of attorney allows you to appoint someone to make healthcare decisions for you if you are unable to make them yourself.

This document helps ensure that medical providers know who has authority to speak on your behalf and helps avoid uncertainty during medical emergencies.

What is a Living Will? Is it the same as an Advance Directive?

A living will is a document that expresses your wishes regarding certain medical treatment decisions, particularly end-of-life care.

An advance directive is a broader term that may include a living will, healthcare directives, and medical powers of attorney depending on state law.

These documents help provide guidance to both family members and healthcare providers during difficult situations.

What should a person have in place for their estate plan?

Every person's situation is different, but a comprehensive estate plan commonly includes:

- A will, typically a so-called "pour over" will that is accompanied by a trust. A pour-over will acts as a catch-all to transfer any assets that go through the probate process into the trust so they are ultimately handled under the trust terms and conditions
- A trust (when appropriate). Many clients choose a revocable living trust that provides flexibility for changes that may occur in the future
- A durable financial power of attorney
- A medical power of attorney
- Healthcare directives or living will
- Beneficiary designations
- Guardianship provisions for minor children

Estate plans should also be reviewed periodically to account for changes in family circumstances, finances, or the law.

Do only wealthy people need an estate plan?

No. Estate planning is important for almost everyone.

Even people without significant wealth often need:

- Healthcare decision documents
- Powers of attorney
- Guardianship planning for children
- Probate planning
- Asset distribution instructions

Estate planning is fundamentally about protecting your family, preserving your wishes, and reducing stress during difficult times.

Why can't I just use an online form to create my estate plan?

Online forms and generic document services may appear convenient, but estate planning is rarely a one-size-fits-all process. The effectiveness of an estate plan depends not only on the documents themselves, but also on how they are customized, coordinated, executed, and integrated with your assets and family circumstances.

Many online forms are designed to be broad and standardized. They often do not account for:

- State-specific legal requirements
- Blended family situations
- Minor children
- Business ownership
- Tax considerations
- Asset protection concerns
- Beneficiary planning
- Incapacity planning
- Trust funding and asset coordination

Even small drafting errors, missing provisions, or improperly executed documents can create significant problems later for family members and beneficiaries.

In many cases, the most important value of working with an estate planning attorney is not simply preparing documents—it is receiving legal guidance tailored to your specific goals and circumstances. A properly designed estate plan helps ensure that all parts of the plan work together cohesively and that potential issues are identified before they become costly problems.

Estate planning also involves ongoing guidance. Laws change, family situations evolve, and plans often need periodic updates over time.

For many families, investing in a carefully prepared estate plan can provide peace of mind and help avoid far greater expense, conflict, and uncertainty in the future.

Do estate plans protect my assets from being taxed?

Estate planning can help minimize certain taxes in appropriate situations, but the answer depends on the size and structure of an estate and the laws of the applicable state.

For many families, federal estate tax is not currently an issue because of the high federal exemption amounts. However, income tax planning, capital gains planning, and state-level tax issues may still be important.

Proper planning can help maximize what passes to beneficiaries and avoid unnecessary tax consequences.

Do estate plans protect my assets from creditors?

Some estate planning strategies may provide varying levels of asset protection, but not all estate plans automatically protect assets from creditors.

The level of protection depends on many factors, including:

- The type of assets involved
- How assets are titled
- State law
- Whether trusts are revocable or irrevocable
- Timing of the planning

Asset protection planning should always be done proactively and in compliance with applicable law.

What are the common pitfalls with estate planning?

Some of the most common estate planning mistakes include:

- Failing to create an estate plan
- Not updating documents after major life events
- Incorrect beneficiary designations
- Failure to properly fund a trust
- Naming inappropriate fiduciaries
- Relying on generic online forms
- Failing to coordinate asset ownership with the estate plan

Estate planning works best when documents are properly drafted, coordinated, and periodically reviewed.

What happens if I become incapacitated but do not die?

If you become incapacitated without proper planning documents in place, your loved ones may need to go to court to obtain authority to manage your financial or medical affairs.

This process can be expensive, time-consuming, and emotionally difficult.

A properly prepared estate plan can help ensure that trusted individuals are able to step in and manage affairs smoothly if incapacity occurs.

What can I do if I change my mind after creating my estate plan?

Estate plans are not meant to be “one and done” documents. In fact, it is very common for people to update their estate plans over time as their lives, finances, and family circumstances change.

As long as you have legal capacity, most estate planning documents can be modified or replaced. Depending on the type of document and the nature of the changes, updates may include:

- Signing an amendment to an existing trust
- Restating or replacing a trust entirely (certain trusts are set up to be “non-revocable”, so flexibility to changing those trusts can be much more limited. Unless necessary or advantageous for other reasons such as estate tax or other financial planning, we typically recommend a revocable trust which provides much more opportunity for changes)
- Updating a will
- Changing beneficiary designations
- Revising powers of attorney or healthcare directives
- Updating fiduciary appointments such as executors, trustees, or agents

Common reasons people update their estate plans include:

- Marriage or divorce
- Birth or adoption of children or grandchildren
- Changes in financial circumstances
- Moving to a different state
- Death or incapacity of a family member or fiduciary
- Business ownership changes
- Tax law changes
- Changes in family relationships or goals

Even if no major life event occurs, it is generally a good idea to review an estate plan periodically to ensure it still reflects your wishes and remains consistent with current law.

A well-maintained estate plan is designed to evolve along with your life and circumstances.